

APM Project Management Qualification

Learner Study Pack



Stakeholder engagement and communication management

Introduction

This section of the Learner Study Pack will cover the Stakeholder Engagement and Communication Management competence of the APM Project Management Qualification.

This section will enable you to gain an understanding of the systematic identification, analysis, planning and implementation of actions designed to influence stakeholders.

Learning objective and outcomes

Learning objective:

10. Stakeholder engagement and communication management: Understand stakeholder engagement and communication management as the ability to work with people internally and externally to achieve intended outcomes.

By the end of this activity, you should be able to:

- 10a) Understand the relationship between stakeholder analysis, influence and engagement.
- 10b) Understand the relationship between stakeholder analysis and an effective communication management plan.
- 10c) Understand the benefits to a project of a communication plan.
- 10d) Understand the importance of managing stakeholder expectations to the success of the project.
- 10e) Know the range of communication methods available and understand the importance of tailoring messaging to meet stakeholder requirements.
- 10f) Know the factors which can positively or negatively affect communication.

Study time

This section of the Learner Study Pack will take approximately 3 - 4 hours to complete.

Recommended resources

In addition to your Learner Study Pack, use the below references for more information on Stakeholder Engagement and Communications Management:

- APM Body of Knowledge Seventh edition 3.1.1 (Understanding who needs to be engaged and influenced)
- Harrin, E. (2020) Engaging stakeholders on projects - How to harness people power, Princes Risborough: APM
- APM Stakeholder Engagement | What is stakeholder engagement?
<https://www.youtube.com/watch?v=ZzqvF9uJ1hA>

Overview

A wide variety of stakeholders can be involved in projects for various reasons, most commonly because they are impacted by the project in some way, directly or indirectly.

The degree to which they are actively involved and therefore influential on the project can depend on their level of motivation and interest in the success of what has been proposed.

Stakeholder Analysis

This first step is crucial as you need to know who your stakeholders are, to prioritise those who will have the biggest impact on the project, and then be able to identify their needs and preferred communication style.

Effective stakeholder analysis will allow you to:

- Identify who the project's key stakeholders (whether internal or external) are, what their interests in the project are, their relationship to the project, their objectives and the effect that those interests could potentially have on the project's viability.
- Identify the views of the stakeholders to support the best possible levels of influence and engagement.
- Develop the most appropriate engagement strategy for each of the stakeholder groups involved in the project.

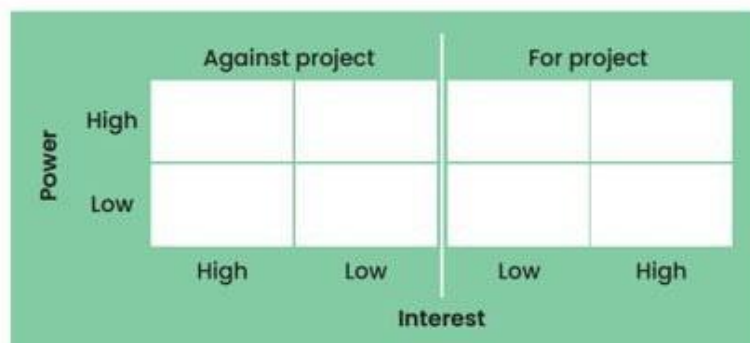
Power/Interest Grid

Once you have identified your various stakeholders, the next step is to map each of them on an 'Interest/Influence' grid.

Although stakeholders may have conflicting interests, the aim should always be to ensure the highest satisfaction levels are achieved.

This grid will help you to assess each stakeholder's level of power / influence, their level of interest and their attitude towards the project.

By understanding these parameters, the project manager and team can then decide how they should engage with the stakeholder and document this within a communication management plan.



A stakeholder who is:

- **High Power, High Interest, Against the Project**

Needs intensive engagement from the project manager, the project sponsor or the senior management team, to avoid any risk they might pose.

- **High Power, High Interest, For the Project**

Needs regular engagement to maintain their support and commitment to champion the project and support the removal of any obstacles or risks.

- **Low Power, High Interest, For the Project**

Needs regular engagement with sufficient information. Miscommunication or lack of communication can cause concerns within stakeholder groups leading to negativity towards the project and challenges.

- **High Power, Low Interest, Neutral Attitude**

Needs to have regular engagement providing specific information as part of a regulatory requirement, e.g. the Health and Safety Executive, and keeps the stakeholder group neutral towards the project.

- **Low Power, Low Interest, Neutral Attitude**

Needs to have little engagement with some information provided, e.g. via newsletter. Time saved here can be used to focus on engagement with others with more power and interest.

Stakeholder Communication Plan and Engagement Strategy

The frequency of communications, the type of media used, and the level of information and detail provided should be tailored to each specific stakeholder group.

The Stakeholder Communication Plan and Engagement Strategy should include:

- The message(s) that should be communicated.
- The person best placed in the project organisation to carry out the communication.
- The most appropriate form of message, media or method that is likely to motivate / engage a stakeholder the most.
- The frequency of communications.
- The level of feedback that should be solicited or expected.
- The barriers which can be proactively identified and acted upon prior to communication taking place.
- The stakeholders which should/should not communicate with each other.

Here's an example of a Stakeholder Communication Plan:

Description	Frequency	Method	Audience	Owner
Project status updates	Weekly	Zoom	All internal stakeholders and project team members	Project Manager
Project Team meetings	Monthly	MS Teams	All project team members	Project Manager
External Stakeholder updates	Quarterly (or as needed)	Email	All external stakeholders	Project Sponsor
Project check-ins	Daily	Slack	Project Team	All Project Team Members

The benefits to creating an effective stakeholder communication plan, include:

- Enhancing stakeholder engagement by identifying your target audience and tailoring communications to suit that audience with relevant information.
- Recording the best method of communication for the individual stakeholder needs and preferences, whether virtual, face-to-face, written etc., utilising appropriate technology.
- Ensuring a consistent approach to communication by assigning responsibilities, providing structure and ensuring clarity of requirements for the project team.

Communication Methods

Effective communication needs to consider not only the message, but the method used.

Communication can be:

- Written using words / symbols, e-forms.

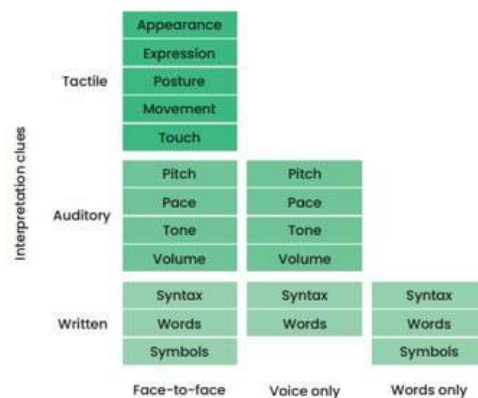
Remember not to rely solely on one method for all stakeholders (e.g. emails) - the chosen method must be appropriate for the audience.

- Verbal, Face-to-face.

You should always consider the impact of body language, tone and alignment (non-verbal signals) with the words that you are using.

It is also important to consider the following when deciding on the most appropriate communication method:

- The target audience.
- The intended impact.
- the risks or potential unintended impact.
- Cultural or language influences.
- Organisational communication norms.
- Accessibility and inclusion.



Positive and Negative Factors

Several factors can either positively or negatively affect communication across a project and it is important to acknowledge and mitigate against their impact.

Here are just some of the factors to consider:

Physical Location, Time Zones	Project team members can be located in different offices and locations around the world. The project manager can put systems in place to overcome the issues related to distance, such as virtual meetings.
Cultural diversity and language	The impact of people's background culture as well as the organisational culture on communication needs to be planned for. Project team members may not always speak the same language for example.
Skill and technical capabilities	Having a variety of skills and capabilities is inevitable. Support mechanisms should be in place to assist those with less experience and knowledge e.g., technical jargon used on a project could be accompanied by information such as technical summaries and glossaries.
Physical environment	A suitable, safe and comfortable environment with necessary facilities will enhance the team's experience. Distractions and noise can lead to a loss of focus and messages not being received correctly.
Body language	Non-verbal signals can affect communication and sometimes can have a greater impact than the words themselves. It is important to be able to manage non-verbal signals so that these align with the message.
Personal circumstances and personality traits	A person's interest and attitude can affect communication such as their levels of workload or stress. People's preferences in terms of communication will also come into play and how they prefer to communicate, whether in writing, virtually or in person for example, or through a detailed or a more strategic level approach.

Managing Stakeholder Expectations

Conducting such a focused and in-depth analysis of your stakeholders, as well as creating your communication plan is a time-consuming process.

This means that the Project Manager must demonstrate the importance of managing stakeholder expectations to the team and, even more importantly, how that will influence the success of the project.

This is particularly relevant in the following areas:

- Effective risk management.
- Improved communication planning.
- Effective engagement actions.
- Increased likelihood of project acceptance.

Stakeholder Engagement and Communication Management

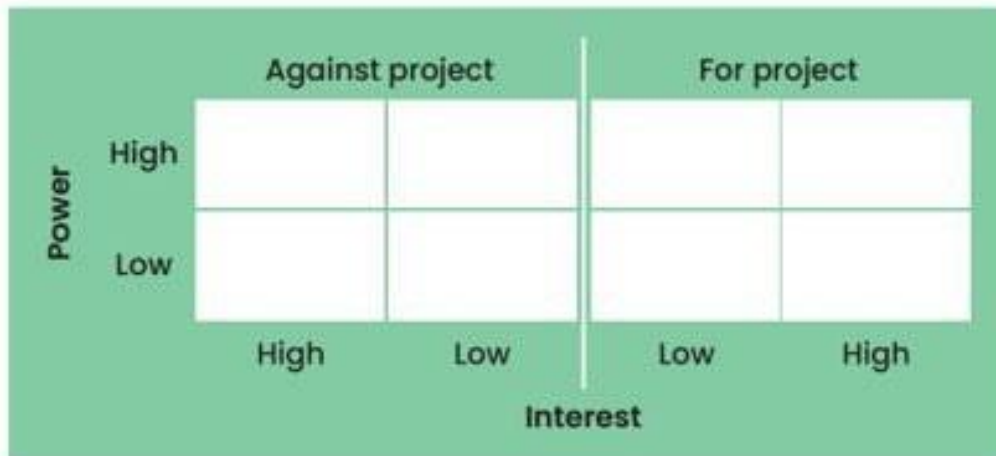
Scenario One:

As a Project Manager, you know that engagement with all stakeholders through clear and regular communication is going to be crucial to the success of the 'Snappy Appy' renovation project.

Your priority is to undertake stakeholder analysis to determine who your key stakeholders are for the project.

Using the grid below:

- Plot the five members of the senior leadership. Refer back to the Introduction that describes their roles and preferences.
- Plot all the external stakeholders that you think may be involved in the renovation of an historic building, e.g. town planning, building contractor etc



Scenario Two:

Now that you've completed your stakeholder analysis, you need to ensure that all internal and external stakeholders are kept updated on the progress of the renovation project.

This will require a 'Snappy Appy' Stakeholder Communication Plan!

Sandeep, the Head of Development, is cynical about the need for a detailed plan. Their argument is "If people want to know what's going on with the project, it's their responsibility to find out!"

Draft an email to Sandeep explaining why a Stakeholder Communication Plan is important and how it will benefit the overall project.

Scenario Three:

Now that you've convinced Sandeep, it's time to put together your communication plan and share it with the senior leadership team.

Create a Stakeholder Communication Plan that includes the following for each of the stakeholders you plotted on the grid:

- The kind of messages that should be communicated to them.
- The most appropriate form of communication
- Potential effect of chosen form of communication (both positive and negative)
- The frequency of communication.
- The level of feedback that should be requested/expected from them.
- Any additional specific stakeholder considerations, e.g. stakeholders which should/shouldn't communicate with each other directly.

<u>Stakeholder</u>	<u>Messages Communicated</u>	<u>Form of Communication</u>	<u>Effect (Positive/Negative)</u>	<u>Frequency</u>	<u>Level of feedback</u>	<u>Additional stakeholder considerations</u>
<u>Avo. Founder/CEO</u>						
<u>Sandeep. Head of Development</u>						
<u>Alva. Head of Sales</u>						
<u>Robin. Finance Manager</u>						
<u>Lee. HR Manager</u>						

Learning review

Before you attempt the exam practice questions in the next section, we recommend you review your learning to quickly see which aspects you don't understand or can't remember as well.

It will also boost your confidence by confirming what you have learnt and your demonstrated ability to apply that knowledge, so that you are ready to practise for the exam.

Here are some questions designed to help you review what you have learnt from the Stakeholder Engagement and Communication Management section:

- Why is stakeholder analysis important for a project manager when developing a communication plan for a project?
- What is the link between stakeholder management and risk management?
- Give examples of stakeholder groups which might affect a project and how would you analyse their impact?
- Which different media types could you use to communicate with stakeholders and give some examples of which ones might be appropriate in the following situations:
 - Obtaining gateway approvals and sign off.
 - Launching a new product.
 - Liaising with government authorities.
 - Communicating with local communities.

Exam practice questions

10.1 You are working on a project to build a new community centre. This project has been challenged by local residents as it requires building on a conservation area.

You held a community consultation event which was attended by hundreds of people. Following the meeting, you undergo a stakeholder identification activity and are now updating your stakeholder management plan.

- The local politician has high power and low interest.
- The local community environmental group has low power and high interest.
- A resident from another nearby town has low power and low interest.
- A business owner who regularly invests in community developments has high power and high interest.

Thinking about the stakeholder analysis matrix, which of these stakeholders would you "Keep Informed"?

(1 mark)

- a. The local politician.
- b. The local community environmental group.
- c. A resident from another nearby town.
- d. A business owner who regularly invests in community developments.

10.2 How does carrying out a stakeholder analysis contribute to the development of an effective communication management plan?

(1 mark)

- a. By identifying stakeholder's budgets and dependencies.
- b. By determining project timelines and milestones.
- c. By assessing stakeholder needs, preferences, and dynamics.
- d. By allocating stakeholders to project resources and budgets.

10.3 Which of the following is not a benefit of a communication plan?

(1 mark)

- a. Relays information.
- b. Provides updates on changes in situation.
- c. Increases transparency over project progress.
- d. Analyses key stakeholders.

10.4 What communication approach would be best at managing the stakeholders of a project?

(1 mark)

- a) Selecting a consistent method of communication to be used with all stakeholders.
- b) Reducing the frequency of team meetings during periods of intense business-as-usual activity.
- c) Adapting the method and content of communication according to stakeholder needs.
- d) Limiting communication to achievement of key project milestones to prevent overwhelming stakeholders.

10.5 Which factors can positively or negatively affect a message when using voice only communication?
(1 mark)

- a. Syntax, pitch, tone, pace
- b. Words, expression, symbols, pace
- c. Words, volume, posture, syntax
- d. Pitch, posture, tone, pace

10.6 What are three ways that stakeholder analysis can support the creation of the communication plan?
(3 marks)

What are two potential consequences of neglecting stakeholder analysis?
(2 marks)

10.7 You are managing a project to build a new wind farm.

The project is controversial, with differing opinions within your organisation and the local community on the project's purpose, viability, and benefit.

Why is managing stakeholder expectations essential for the success of projects, and the wind farm project in particular?

Your answer should include:

- A description of two clear reasons why managing stakeholder expectations is important for the success of any project (2 marks).
- A description of three clear reasons why managing stakeholder expectations is especially important for the wind farm project (3 marks).

10.8 What are two different communication methods used in stakeholder engagement?
(2 marks)

Why is tailoring messaging for different stakeholders important, and what are two examples of how you can tailor your messaging?
(3 marks)

10.9 What are three factors that can negatively impact communication in a project and what are two factors that can positively impact communication in a project?
(5 marks)

10.10 An organisation is implementing a project to develop an employee well-being initiative. The initiative aims to enhance employees' physical and mental health, improve work-life balance and boost overall productivity and job satisfaction.

The project needs to secure additional funding from the Chief Financial Officer who has considerable power and influence over corporate decisions. Their primary focus lies in strategic financial planning and operational management, rather than employee well-being initiatives.

Explain two challenges that you may encounter when engaging with this stakeholder.
(2 marks)

10.11 You are drafting a communications plan at the start of a large project with many diverse stakeholders. You have already completed your stakeholder analysis for the project.

Describe one communication method you would adopt for each of the groups below:

- Stakeholders who have high interest and influence (1 mark).
- Stakeholders who have low interest and influence (1 mark).

10.12 Taking the time to structure a comprehensive communication plan will deliver many benefits: one of them being to ensure____(a)_____. A further benefit of the communication plan to the project is to ensure____(b)_____.

(2 marks)

(a)

1. Regular team meetings are held
2. Everyone gets the same information
3. Target audiences are defined
4. Clear project task allocation

(b)

1. Consistent messaging
2. Effective risk management
3. All stakeholders are satisfied
4. Effective conflict resolution

Exam practice answers

Question	Answer / Mark scheme
10.1	B
10.2	C
10.3	D
10.4	C
10.5	
10.6	1 mark for each description of how stakeholder analysis can support the creation of the communication plan, 3 marks available in total. For example, but not limited to: • By thoroughly understanding the stakeholders, their interests, concerns, and level of influence, project managers can tailor their communication plan to effectively engage with them. • The best channels, frequency, and level of detail for communicating project updates and relevant information can be determined. • By understanding their expectations, concerns, and motivations, project managers can tailor their communication plan to build trust and rapport. 1 mark for each consequence of neglecting a stakeholder analysis, 2 marks available in total. For example, but not limited to: • Without a thorough understanding of stakeholders' needs and preferences, communication efforts may be misdirected or insufficient. • It can lead to misunderstandings / resistance / conflict, which can impact the project. • It can delay the project by stakeholders not being in agreement. • The project outputs may not meet stakeholder expectations. • Stakeholders may end up feeling disengaged, and feel negatively about the project.
10.7	1 mark for any valid reason why managing stakeholder expectations is essential, 2 marks available in total. For example, but not limited to: • Makes sure that they are engaged and supportive of the project. • Avoids misunderstanding and conflict over what the project is trying to achieve. • Supports effective risk management by surfacing concerns. • Makes sure that the project and the stakeholder expectations are aligned. • Increases the likelihood that the project outputs will be accepted by stakeholders. 1 mark for any valid reason why managing stakeholder expectations is especially important for the wind farm project, 3 marks available in total. For example, but not limited to: • Because the project is controversial. • Because there's different opinions on the project already between stakeholders. • There's potential conflict from the different opinions of the stakeholders. • There's lack of clarity over what benefits that the project will deliver. • Stakeholders disagree over whether the project is viable. • Stakeholders disagree over the purpose of the project.
10.8	1 mark for each valid communication method, 2 marks available in total. For example, but not limited to: • Email • Newsletters / bulletins • Social media

	• Face-to-face meetings / forums • Virtual meetings / phone calls 1 mark for why tailoring messaging is important. For example, but not limited to: • Helps to build trust / relationships. • Increases likelihood that stakeholders will understand the project. • Increases stakeholder engagement. 1 mark for each example of how you can tailor your messaging, 2 marks available in total. For example, but not limited to: • Level of detail that your stakeholder requires. • Method of communication your stakeholder prefers e.g. email, face-to-face. • Frequency / timing of communication your stakeholder prefers.
10.9	1 mark for each factor that can negatively impact communication, 3 marks available in total. For example, but not limited to: • Poorly defined roles and responsibilities. • Language barriers / cultural misunderstandings. • Personality clashes. • Busy and distracting office environment. • Unstable / unreliable technology for virtual communications. • Differences of opinions. • Individual's level of stress / workloads. • Misalignment between verbal and non-verbal signals. • Technical / business jargon being over-used. 1 mark for each factor that can positively impact communication, 2 marks available in total. For example, but not limited to: • Clearly defined roles and responsibilities. • Dedicated meeting space to allow focus. • Stable / reliable technology for virtual communications. • Focus on team wellbeing / work-life balance. • Alignment between verbal and non-verbal signals. • Universal understanding of technical / business language. • Active listening / empathetic approach. • Open and transparent communication channels. • Cultural awareness and sensitivity.
10.10	1 mark for each challenge, 2 marks available in total – any of the below: • Limited engagement. • Minimal participation in project discussions. • Difficult to secure funding / budget / resources. • Negative impact on team morale if the Chief Financial Officer is disengaged.
10.11	1 mark for any of the below methods for stakeholders with high levels of interest and influence: • Frequent / regular face to face meetings / video / telephone calls / presentations; etc. • Frequent / regular written / emailed updates. • Interactive / collaborative workshops / meetings. • Frequent / regular project status reports. 1 mark for any of the below methods for stakeholders with low levels of interest and influence – 'infrequent' should be mentioned: • Infrequent written / emailed updates. • Newsletters/ bulletins. • Website / intranet / social media updates.

10.12	(a) 3 (b) 1
--------------	----------------